Working with Other Businesses

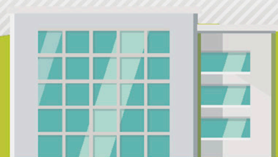
As a new business owner, it can be well worth seeking mutually beneficial relationships—with your suppliers and also with companies whose goods or services complement what your business offers.

Collaborating with others

Although your business must compete against its rivals, it can benefit from good partnerships with other companies whose interests align with yours. As every business has its own strengths and weaknesses, a collaboration with another company may help fill a gap in your business model or provide a service that you need. For example, if you repair cellphones but lack direct access to customers, it could be mutually beneficial to partner with a retailer who sells phone accessories and has space available. Alternatively, you may be a start-up whose innovative product or service.

Types of alliances

Working with other businesses can help support your start-up—by securing goods or services that you need or by providing something that complements or fills a gap in your business model. However, the partners and suppliers you choose must be right for your business, and you will need to work with them to sustain the relationships. Any agreement must benefit the business; if it does not, be prepared to walk away if necessary.



PARTNERSHIPS

To develop a successful partnership, you will need to work with a business whose products or services complement what your start-up is offering, helping to draw in new customers and provide extra value to existing customers. Whether you are looking at companies in the same industry or ones who provide a service, such as web design and maintenance, plan carefully before you enter a partnership, and consider the following tips on what to do and what to avoid doing:

DO ...

- **Choose a partner** that meets your criteria, such as their financial status, willingness, goals, and personality.
- **Formalize the agreement**, recording what each party expects and offers.
- **Set realistic expectations** to ensure that they are met as agreed.
- **Maintain communication** and discuss any problems early, so you can take swift remedial action.

DON'T ...

- **Limit partners by location**, as the best may be on the other side of the world.
- **Accept the first offer**; instead negotiate for the deal that suits all parties the most.
- **Be tempted by size**, as the biggest partner might offer more opportunities, but these may not be right for you.
- **Ignore issues**, as they are unlikely to disappear. Timely, shared resolutions can strengthen a relationship.